

INVESTMENT MEMORANDUM

South of Mound

Multi-Family Investment Opportunity

Prepared: 10/15/2025

EXECUTIVE SUMMARY

Total Units:	16
Acquisition Price:	\$1,500,000
Total Project Cost:	\$1,765,000
Equity Required:	\$441,250
Debt Amount:	\$1,323,750
LTC Ratio:	75.0%

KEY INVESTMENT METRICS

Year 1 Cash-on-Cash Return:	4.8%
Levered IRR (5-Year):	28.5%
Equity Multiple:	2.70x
DSCR (Year 1):	1.25x

5-YEAR CASH FLOW PROJECTION

Year	NOI	Debt Service	Before-Tax CF	Cash-on-Cash
Year 1	\$127,114	\$105,900	\$21,214	4.8%
Year 2	\$133,655	\$105,900	\$27,755	6.3%
Year 3	\$137,664	\$109,106	\$28,558	6.5%
Year 4	\$141,794	\$109,106	\$32,688	7.4%
Year 5	\$146,048	\$109,106	\$36,942	8.4%

Delinquency Schedule: Y1: 4.0% | Y2+: 2.0% | Ramp: 1 yr

CAPITAL STACK

Source	Amount	% of Total	Cost/Return
Senior Debt	\$1,323,750	75.0%	8.0%
LP Equity	\$419,188	23.8%	7.0%
GP Equity	\$22,063	1.3%	Residual

REFINANCE SUMMARY

Sizing Method:	Lesser of LTV/DSCR
Refi Year:	2
Perm Loan Amount:	\$1,558,015
Net Refi Proceeds:	\$218,685
Value at Refi:	\$2,430,085
Bridge Payoff:	\$1,323,750
Perm Points/Fees:	\$15,580

Bridge Amortization (First 12 Months)

1		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
2		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
3		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
4		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
5		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
6		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
7		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
8		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
9		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
10		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
11		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750
12		\$1,323,750		\$8,825		\$8,825		\$0		\$1,323,750

Perm Amortization (First 12 Months)

1		\$1,558,015		\$9,092		\$7,465		\$1,627		\$1,556,388
2		\$1,556,388		\$9,092		\$7,458		\$1,634		\$1,554,754
3		\$1,554,754		\$9,092		\$7,450		\$1,642		\$1,553,112
4		\$1,553,112		\$9,092		\$7,442		\$1,650		\$1,551,462
5		\$1,551,462		\$9,092		\$7,434		\$1,658		\$1,549,803
6		\$1,549,803		\$9,092		\$7,426		\$1,666		\$1,548,137
7		\$1,548,137		\$9,092		\$7,418		\$1,674		\$1,546,463
8		\$1,546,463		\$9,092		\$7,410		\$1,682		\$1,544,781
9		\$1,544,781		\$9,092		\$7,402		\$1,690		\$1,543,091
10		\$1,543,091		\$9,092		\$7,394		\$1,698		\$1,541,393
11		\$1,541,393		\$9,092		\$7,386		\$1,706		\$1,539,687
12		\$1,539,687		\$9,092		\$7,378		\$1,714		\$1,537,972

NOTES

Bridge LTV:	75.00%
Bridge LTC:	75.00%
Bridge IO Months:	24
Sizing Method:	Lesser of LTV/DSCR